

SUMMARY 1

Measures of Aggregate Saving

Saving measure

Definition and formula

Private saving

Private disposable income less consumption

$$S_{\text{pvt}} = (Y + NFP + TR + INT - T) - C$$

Government saving

Net government income - government purchases

$$S_{\text{govt}} = (T - TR - INT) - G$$

National saving

Private saving plus government saving; also GNP
($Y + NFP$) less consumption and government purchases

$$\begin{aligned} S &= S_{\text{pvt}} + S_{\text{govt}} \\ &= Y + NFP - C - G \end{aligned}$$